Tokyo Electron

8035.T | Tokyo Stock Exchange Prime | 2026-10-07

Q4 2027 model ceiling: JPY 12,345.95

Analytical Base 43/60 = 72 | Qualified process-equipment bottleneck

20x rolling forward-four-quarter Japanese-GAAP operating profit divided by modeled window-end split-adjusted common shares. No excess-cash bonus; net financial claim is zero while liquid funds cover identified financial obligations.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,404,238.1	20x	2,274.816	12,345.95

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Thesis

8035.T · Tokyo Stock Exchange Prime · JPY · Research as of October 7, 2026

The model produces a **Q4 2027 ceiling of JPY12,346 per share** using 20x forward-four-quarter Japanese-GAAP operating profit and 2,274.8 million modeled shares at the end of Q3 2028. The analytical Base is **72/100 (43/60)**. This is a strong equipment franchise with a substantial earnings ramp already embedded; the engineering case does not automatically make the stock inexpensive. The valuation uses the October 1 five-for-one split basis throughout.

Tokyo Electron earns its position by making difficult semiconductor processes repeatable at customer production yields. It has exceptional strength in coating and developing, several important etch positions, broad deposition and cleaning exposure, and a large service base. The next return driver is the amount of price recovery it retains after labor, components, installation, warranty and R&D costs. The opportunity is broader than a single AI product, while the economics remain exposed to concentrated customers and the semiconductor investment cycle.

Latest results and fiscal timing

The latest released quarter is **April-June 2026**, called Q1 FY2027 because the fiscal year ends in March 2027. It delivered JPY732.388bn revenue, JPY342.712bn gross profit and JPY211.407bn operating profit. Gross margin was approximately 46.8% and operating margin 28.9%. R&D was JPY72.046bn and other reported SG&A JPY59.257bn; the published total differs by JPY1m from the sum because of rounding. Recurring expenses, stock compensation and depreciation remain in the valuation's GAAP operating profit. July 30 financial results, pages 1 and 8.

Management's formal forecast is only for **April-September 2026**: JPY1.620T revenue, JPY748bn GP and JPY458bn OP. Subtracting the released June quarter implies calendar Q3 revenue of JPY887.612bn, GP JPY405.288bn and OP JPY246.593bn. These are inferred guidance, not reported September results. The model allocates the JPY1m expense rounding difference to other SG&A. No probability uplift is added to this formal-guidance quarter. July presentation, page 17.

The distinction matters for the larger claims. Management said JPY1T operating profit was coming into view for FY2027; it aims for 50% GP early in FY2028 and 35% OP in the near term. Those are ambitions with engineering and commercial support, not full-year financial guidance. Our FY2027 model, assembled from the reported June quarter and the next three calendar quarters, totals JPY3,452.3bn revenue and JPY1,030.8bn OP. Reference R&D reconciles to the full-year JPY330bn issuer plan before incremental branch costs. August 3 Q&A, page 4.

For the year ended March 2026, revenue was JPY2.444T and OP JPY624.936bn, versus JPY697.319bn OP the prior year. The earnings cycle is recovering from a real decline. FY2026 net income of JPY574.454bn included a JPY115.494bn investment-security gain below operating profit, which is excluded from our forward operating valuation. April 30 annual financial results, page 10.

Financial Summary (Quarterly)

(Billion yen)

	FY2026				FY2027	vs. FY2026 Q4	vs. FY2026 Q1
	Q1	Q2	Q3	Q4	Q1		
Net sales	549.5	630.0	552.0	711.8	**732.3**	+2.9%	+33.3%
Gross profit Gross profit margin	253.9 46.2%	284.8 45.2%	235.8 42.7%	333.1 46.8%	**342.7** **46.8%**	+2.9% ±0.0pts	+34.9% +0.6pts
SG&A expenses	109.2	126.4	119.6	127.5	**131.3**	+2.9%	+20.2%
Operating income Operating margin	144.6 26.3%	158.4 25.1%	116.1 21.0%	205.6 28.9%	**211.4** **28.9%**	+2.8% ±0.0pts	+46.1% +2.6pts
Income before income taxes	151.9	161.0	153.3	281.8	**215.4**	-23.5%	+41.8%
Net income attributable to owners of parent	117.8	123.8	118.5	214.2	**164.3**	-23.3%	+39.5%
R&D expenses	62.1	72.6	66.2	76.7	72.0	-6.2%	+15.9%
Capital expenditures	52.8	91.2	30.3	41.6	39.9	-4.1%	-24.4%
Depreciation and amortization	17.1	19.1	21.1	23.5	22.5	-4.4%	+31.2%

1. In principle, export sales of Tokyo Electron's products are denominated in yen. Although some sales and expenses are denominated in foreign currencies, the impact of foreign exchange rate fluctuations on profits is negligible, unless extreme fluctuations occur.
2. Profit ratios are calculated using full amounts, before rounding.
3. FY20xx refers to the financial year ending in March 20xx.

https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | July results: calendar Q2 2026, not calendar Q3.

Financial Estimates for H1 FY2027

(Billion Yen)

	FY2026 (Actual)			FY2027 (Updated Forecast)	FY2027 (Forecast as of 4/30)
	H1	H2	Full Year	H1	H1
Net sales	1,179.6	1,263.8	2,443.5	**1,620.0**	1,570.0
Gross profit Gross profit margin	538.8 45.7%	569.0 45.0%	1,107.8 45.3%	**748.0** **46.2%**	715.0 45.5%
SG&A expenses R&D Other than R&D	235.7 134.8 100.8	247.2 143.0 104.1	482.9 277.8 205.0	**290.0** **160.0** **130.0**	284.0 160.0 124.0
Operating income Operating margin	303.1 25.7%	321.7 25.5%	624.9 25.6%	**458.0** **28.3%**	431.0 27.5%
Income before income taxes	312.9	435.1	748.1	**464.0**	437.0
Net income attributable to owners of parent	241.6	332.8	574.4	**349.0**	328.0
Net income per share (Yen)	527.31		1,254.57	**767.51**	721.12

- H1 FY2027:
  Revised net sales upward to 1,620B yen due to customers' robust investment in leading-edge applications
- H2 FY2027:
  Demand is expected to gain momentum further, raising expectations for a significantly better performance in H2
  - Closely monitoring the impact of the Middle East and supply chain developments

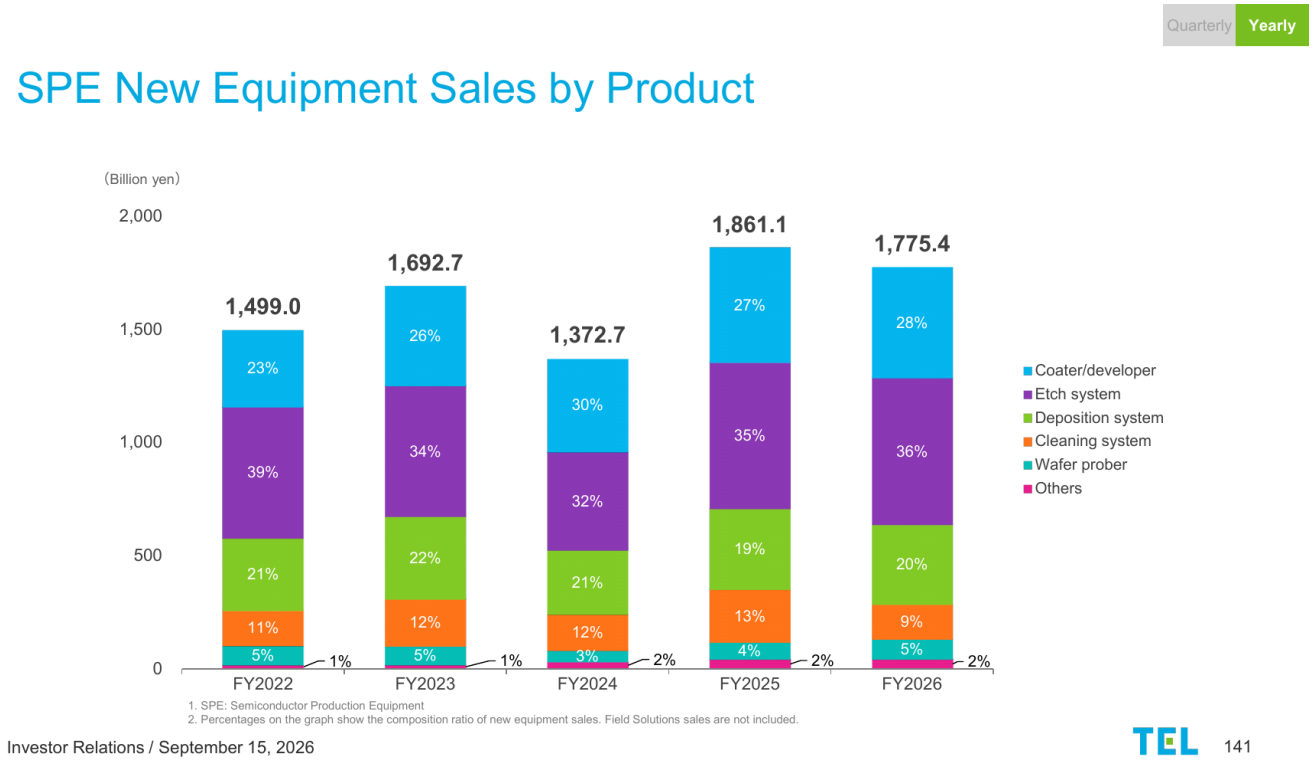
https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | Formal H1 FY2027 guidance is for April-September 2026 only.

Where Tokyo Electron earns its returns

Coating/developing prepares and develops resist around lithography. Customers need uniformity, defect control and integration with exposure tools, not just a lower purchase price. Management reports more than 90% share in coating/developing; the integrated report estimates 100% in EUV tracks. Those claims have narrow product scope and do not describe the whole semiconductor equipment market. July Q&A, pages 5-6 and 2026 integrated report.

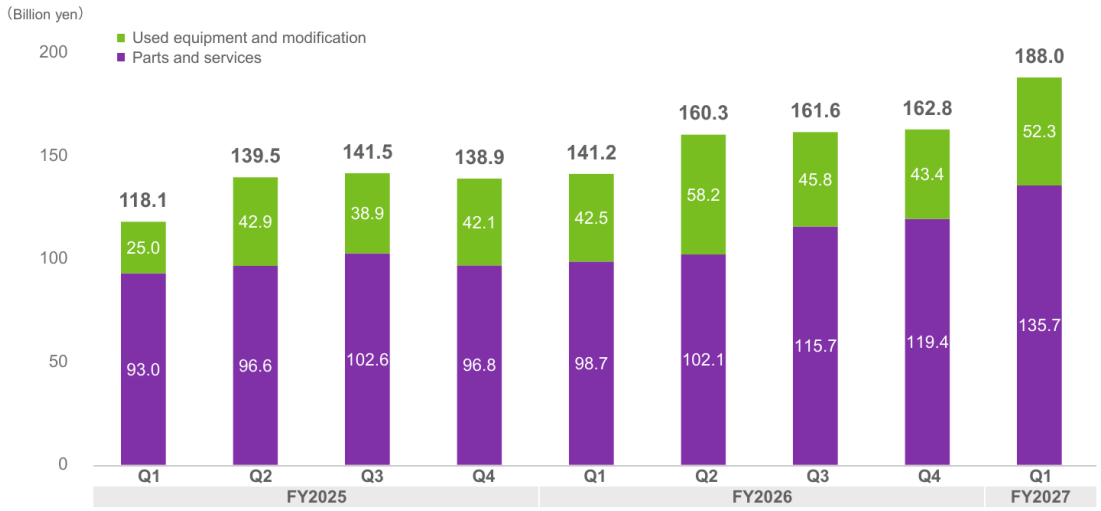
The historical new-equipment mix is approximately 28% coating/developing, 36% etch, 20% deposition, 9% cleaning, 5% wafer probing and 2% other for FY2026. Rounded percentages sum to 100%. The same sales can also be classified by customer application, so product mix must not be added to logic, DRAM and NAND demand as a second revenue layer. September investor guide, page 141.

The field-solutions franchise adds another source of value. April-June 2026 parts/services sales were JPY135.7bn, and used equipment/modifications JPY52.3bn. Utilization at customer fabs drives spare parts and service demand. Used-tool and modification projects have shorter lead times and are harder to forecast. They should not inherit the same backlog certainty as newly accepted leading-edge systems. July presentation, page 8.



https://www.tel.com/ir/library/investors-guide/hq95qj0000000734-att/InvestorsGuide_E20260915_rev00.pdf | Historical new-equipment product mix, before field solutions; issuer rounded percentages.

Field Solutions Sales (Quarterly)



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https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | Parts/services versus lumpy used-equipment and modification sales.

Engineering advantage and competition

GAA transistors and backside power require highly selective deposition and removal with tight dimensional control. Higher-aspect-ratio DRAM capacitors require deep etches that preserve profile and electrical performance. Increasing NAND layers lengthens and complicates memory-hole etches. Those changes raise process difficulty and the value of a qualified tool; they do not guarantee that every incremental process is won by Tokyo Electron. The company describes its development programs and process-of-record progress in the integrated report, physical pages 20-21 and July presentation, page 16.

For NAND, the near-term technical milestone is cryogenic etch moving into 400-layer mass production in calendar 2027. Low-temperature chemistries can improve deep-feature profile and speed, but chamber matching, selectivity, defects, uptime and customer qualification determine useful output. Lam already offers Cryo 3.0 for 400-layer-and-beyond NAND, with compatibility across its established Flex/Vantex installed base. Tokyo Electron has an opportunity to win individual processes, not an uncontested market. Lam cryogenic product description.

Applied Materials is also introducing deposition, etch and materials-modification systems for 2nm-and-beyond logic. The same GAA transition benefits several qualified suppliers. Tokyo Electron's broad product portfolio and customer process relationships are barriers to entry, but they do not eliminate competition on electrical results, throughput, cost per good wafer and integration risk. Applied Materials February 10, 2026 product announcement.

Advanced packaging broadens the application set. Synapse wafer bonding, Ulucus laser processing and Prexa SDP device probing address alignment, debonding, heat control and known-good-die testing. Avoiding a bad die in an expensive stack can justify substantial inspection and process spending. Yet bonding systems, coaters, deposition tools and probers are already contained in the application revenue vectors. The sector's packaging TAM is not a new standalone sales line. Integrated report, physical page 21.

The cumulative language is particularly important: the DRAM-interconnect etch objective is JPY1T over five years through FY2030 in the July prepared remarks, meaning March 2030, and bonding/laser equipment has a JPY500bn five-year sales ambition. Neither is an annual revenue guide. The reference model already contains JPY500bn of bonding/laser sales across 2026-30 as a subset of new equipment: JPY40bn/80bn/110bn/130bn/140bn. That is a calendar-year modeling allocation, not a reported product schedule. The bonding statement uses 2026-30 without fully resolving fiscal versus calendar years, so exact recognition timing remains a gap. The additional packaging branch only counts residual wins above this allocation. April Q&A, page 4 and July Q&A, page 5.

FY2027 Update: Progress and Business Opportunities Ahead

Business Progress (FY2027 Sales Growth Drivers)			Future Business Opportunities (Highlights)	
Coater/ Developer	Sales Growth 50%+ YoY	▪ Newly released CLEAN TRACK™ LITHIUS Pro DICE™ ramping steadily ▪ **POR**[*1] **advancing across multiple process steps in leading-edge logic/DRAM**	From POR to High Volume Manufacturing	▪ Cryogenic etch ▪ Low-resistivity metal deposition ▪ Hybrid bonding
Etch	Sales Growth 25%+ YoY	▪ **Full-year sales of 1T yen** is within reach with accelerated investment in leading-edge logic/memory ▪ Evaluations progressing with new model for DRAM HARC etch	Cumulative Sales through 2030	▪ DRAM interconnect etch: **1T yen** ▪ Bonding-related equipment: 500B yen
Advanced Packaging	Sales Growth **70%+** YoY	▪ In particular, our probers hold an overwhelming position in high-end logic. Expect to **significantly exceed 100B yen for full year.** Evaluations of new model progressing well	New Entrants/ SAM Expansion	▪ Single wafer PECVD for gap fill: 10% of PECVD market ▪ Device prober: 10-15% of prober market. **Released Prexa™ SDP**[*2]

*1 POR (Process of Record): Certification of the adoption of equipment in customers' semiconductor production processes

*2 SDP: Singulated Device Prober

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https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | Issuer growth drivers, process wins and advanced packaging plans.

Our Competitive Advantages in the Frontend Process Business

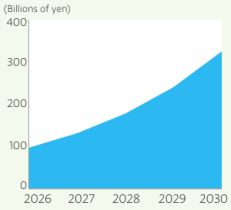
- Powerful development system for achieving the etch and film deposition that are the keys to higher performance and scaling
- Supporting EUV through coater/developer and optimization technologies
- Leveraging of advanced products for the four key processes in patterning to provide overall optimized solutions

Backend Process Business

Business Opportunities

The use of bonding technologies in the frontend processes of all leading-edge devices, and advanced packaging in the backend processes, has been increasing over recent years. For advanced logic semiconductors, development is also accelerating in the areas of backside PDN[1] (structures with wiring on the reverse side), next-generation CFET[2] transistors, and NAND and DRAM memory semiconductors. Die-level bonding, rather than just wafer-level bonding, is also becoming more important for advanced packaging. For example, there has been increasing development and adoption of next-generation HBM[3], stacked flash memory, and stacking of logic semiconductors and optical devices. With higher performance AI devices as well, opportunities are expanding in the bonding market. At the same time, we expect the bonding process equipment market, in which we are operating, to achieve a compound annual growth rate (CAGR) of over 30% between 2026 and 2030. In 2030, we anticipate that the market will reach in excess of 300 billion yen[4].

Scale of the Bonding Process Equipment Market



(Estimated by Tokyo Electron)

1 Backside PDN: Backside Power Delivery Network
2 CFET: Complementary Field Effect Transistor
3 HBM: High Bandwidth Memory
4 Estimated by Tokyo Electron

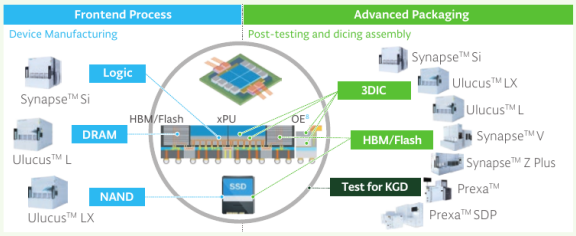
Business Strategies

The bonding systems we provide are process devices that fuse process technologies, such as plasma control and cleaning technology, with mechanical alignment technologies. We are continuing to develop products that incorporate the advanced technologies we have developed through our frontend process businesses of deposition, coating/development, etching, and cleaning, and our knowledge of particle control and other fields. To maximize business growth in the bonding market, we have also released our "Synapse™ Si" permanent wafer bonding system, and our "Ulucus™ L" laser edge trimming system and "Ulucus™ LX" extreme laser lift off system, which are both expected to contribute significantly to improved process quality and CoO[5]. Customer evaluations are proceeding smoothly.

We are also accelerating development of die-level bonding systems for advanced packaging, and planning to deploy cluster systems capable of integrated processing, from pre-processing to bonding, to achieve highly accurate and reliable die stacking.

Improving final yields is essential in the area of advanced packaging, so there is a need for KGD[6] testing of singulated devices prior to mounting. We launched our "Prexa™ SDP[7]" device prober, offering high heat absorption performance, to address the challenges of heat absorption and accurate temperature control when testing leading-edge devices. Through timely provision and integration of die-level and device-level solutions, in addition to wafer-level solutions, we aim to improve final yields for AI-oriented advanced packaging.

5 CoO: Cost of Ownership
6 KGD: Known Good Die/Device. A bare die or device that has been tested and proven defect-free.
7 SDP: Singulated Device Prober



8 OE: Optical Engine for Si Photonics

Our Competitive Advantages in the Backend Process Business

- Broad range of innovative products for the bonding market, which is expected to see major growth
- Technologies and know-how from our frontend business can be leveraged in fast, effective development
- Yield improvement approach through fusion of bonding and testing technologies

https://www.tel.com/ir/library/ar/g4alje00000000pq-att/ir2026_all_en.pdf | Bonding and singulated-device probing address expensive advanced-package yield.

Medium-term Management Plan | Message from the Product Business Representative



Message from the Product Business Representative

Keiichi Akiyama
Corporate Officer, Product Business
Executive Vice President & General Manager

The semiconductor market is expected to grow into a US$1 trillion business much earlier than originally forecast. Leading that growth are semiconductors for AI, which will require further performance improvements and scaling to power the evolution of leading-edge devices and diversification of advanced packaging and testing methods. Within this context, we are actively engaging in technological development to strengthen our position as a company handling many of the key frontend manufacturing processes that are essential for semiconductor performance improvement and scaling. Fields such as etching and deposition are expected to see growth surpassing the growth rate of WFE[1], and our frontend process business, including these processes, has acquired numerous development PORs[2]. In the backend process, advanced packaging technologies, in which multiple chips are integrated in 2D and 3D directions, are becoming increasingly important. In particular, high-density bonding technology, which enables the ultra-high speed, power-efficient transfer of large volumes of data required by AI, is considered a critical technological inflection point for semiconductor manufacturing. As such, it is expected to deliver technological innovation for even higher reliability and productivity. By leveraging our regional development and evaluation centers, we provide rapid development and support tailored to our customers' needs, further enhancing customer engagement.

We will continue to make proactive investments in technological development and strongly contribute to the growth of the semiconductor market.

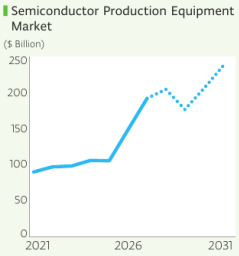
1 WFE: Wafer Fab Equipment. The semiconductor production process is divided into frontend production, in which circuits are formed on wafers and inspected, and backend production, in which wafers are cut into chips, assembled and inspected again. WFE refers to the production equipment used in frontend production and in wafer-level packaging production.
2 POR: Process of Record

Frontend Process Business

Business Opportunities

As AI advances, the growth rate of etching TAM[1] is expected to rise further in the fields of advanced logic and DRAM, where growth is expected. In the field of film deposition, as well, high growth is expected for advanced logic. As the market expands, driven by the growing range of applications for AI-oriented devices, each device is expected to offer even higher performance and further scaling, thereby creating higher added value. In 2025, we completed construction of new development buildings in Miyagi and Kumamoto, and the Tohoku Production and Logistics Center in Iwate. We are also expecting to complete construction of our Miyagi Innovative Production Center in the summer of 2027. With these additions, we will work to enhance our development and production capabilities as we continue building our systems in preparation for future growth of the semiconductor production equipment market.

1 TAM: Total Available Market



Source: TechInsights (June 2026)

Business Strategies

In advanced logic, we are working on precision control for film deposition and etching, high selectivity gas chemical etching, and new structures such as air gaps. Furthermore, to balance performance and cost for lithography, we are evaluating high numerical aperture (NA) EUV technology, its combination with multi-patterning, the adoption of MOR[2], and anisotropic etching for optimizing the number of EUV applications. For DRAM, we are meeting demand for high aspect ratio etch and highly difficult capacitor film deposition to secure the capacitance necessary for 2D scaling. We are also enhancing our technological development of film deposition, etch, and gas chemical etch to adapt to new structures such as 4F² vertical channel transistor and changes in 3D structures. For NAND, to further increase multi-layering, we will strengthen our development of cryogenic etch for deep holes and trenches, along with applying next-generation transition metal materials to word lines and lowering resistivity in channel silicon. Through the extensive technological development we are conducting, which plays an extremely important role in improving performance and scaling, we will make major contributions to the evolution of semiconductors and we will expand the range of fields in which we do business by supplying new products, thereby achieving growth that surpasses WFE levels. Furthermore, we will develop our comprehensive Epsira™ DX solutions, utilizing AI and robotics, while implementing a range of initiatives for more efficient development, production, maintenance, and operation for ourselves and our customers. In addition to digitalization, we will also strengthen our "Digital & Green" initiatives for decarbonization to help preserve the global environment.

2 MOR: Metal Oxide Resist

https://www.tel.com/ir/library/ar/g4alje00000000pq-att/ir2026_all_en.pdf | GAA, backside power, DRAM structures and NAND layer counts expand process demands.

Revenue vectors and the reference forecast

The operating model uses six reconciled vectors: non-memory new equipment, DRAM new equipment, NAND new equipment, parts/services, used equipment/modifications, and an unallocated sales reconciliation. It forecasts GP by vector, then subtracts R&D and other recurring SG&A. Gross margins include manufacturing costs and depreciation; other SG&A includes normal administration, selling costs, SBC and its share of depreciation. Incremental application support and qualification are deducted within each branch rather than assumed free.

One source gap is retained explicitly. Disclosed June-quarter new equipment of JPY531.3bn plus field solutions of JPY188.0bn is JPY13.088bn below consolidated sales. The corresponding FY2026 residual is JPY42.133bn. The current disclosures do not identify that difference sufficiently to label it as a high-growth product. The model keeps a low-margin unallocated vector and requests issuer reconciliation. It does not reclassify this difference as extra bonding sales. Financial results and new equipment and field-solutions slides 7-8.

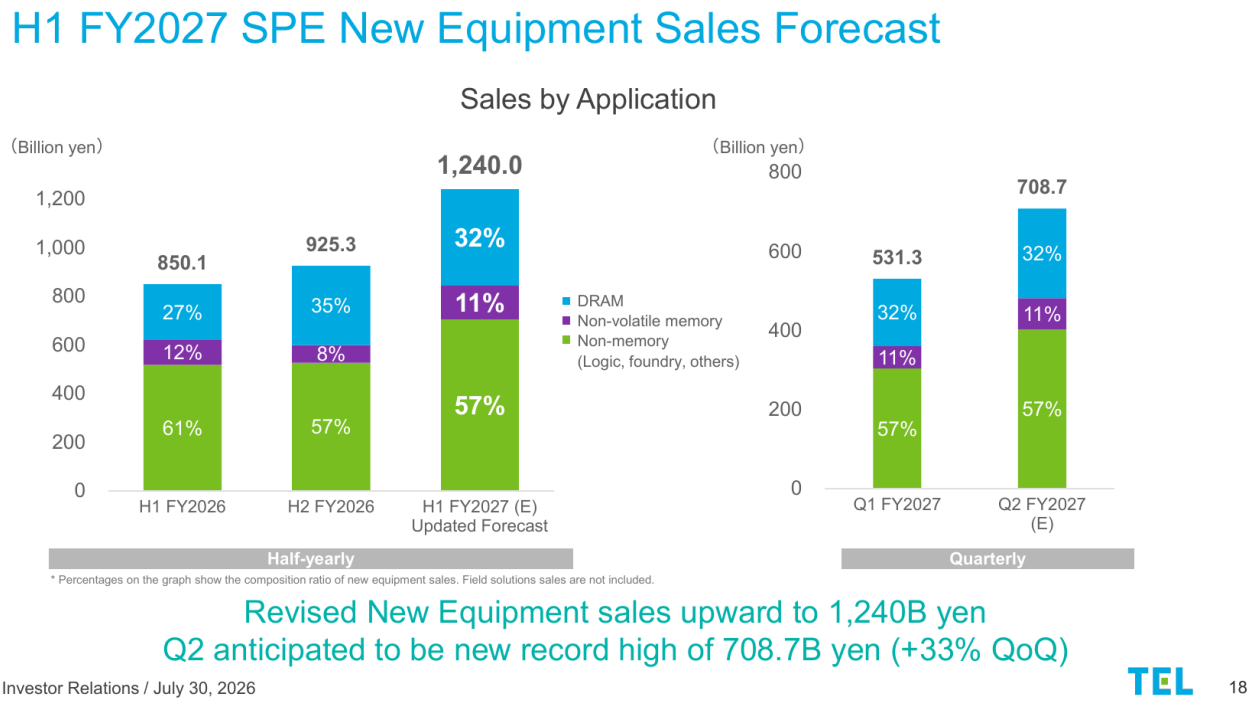
The Q3 reference uses the disclosed JPY708.7bn new-equipment forecast and 57% non-memory/32% DRAM/11% NAND application mix. It assumes JPY140bn parts/services and JPY25bn used/modification sales, leaving JPY13.912bn unallocated. That split is a model assumption reconciled to exact total guidance. Its lower used-equipment contribution reflects management's explicit caution about short-cycle project visibility.

From CY2027 onward the reference combines process content, accepted equipment output and support for a growing installed base. It does not multiply a broad dollar WFE forecast by an assumed constant market share.

The equivalent-unit check divides new-equipment revenue by a disclosed model proxy of JPY500m per configured system, with a JPY300m-800m range. Actual system configurations differ greatly. The reference implies roughly 5,840 equivalent tools in 2027 and 7,100 in 2028; this exceeds the recent 4,000-6,000 annual shipment range and therefore depends on mix and qualified production expansion.

Calendar year	Reference sales, JPY bn	Active sales, JPY bn	Reference OP, JPY bn	Active OP, JPY bn
2027	3,700.0	3,751.8	1,159.2	1,183.9
2028	4,400.0	4,480.9	1,457.2	1,494.5
2029	4,890.0	4,974.2	1,604.7	1,643.6
2030	5,335.0	5,414.0	1,741.3	1,778.1

The reference gross-margin progression is approximately 48.9% in 2027 and 49.5% in 2028. It includes ordinary product mix, scale and operating improvements but not a separate general pricing premium. Long-range growth slows, gross-margin assumptions ease after 2028 and incremental pricing fades. The 2029-30 path is lower-confidence model work, not management guidance.



https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | New-equipment application mix; field solutions are excluded.

Pricing, mix and a bounded earnings bridge

The price thesis has direct issuer support. In April management discussed passing through higher fixed costs; in July it said customers understood price optimization, including existing models, and expected contributions during October 2026-March 2027, becoming clearer in January-March. This supports a positive probability-weighted increment before a published price list, while leaving the retained margin uncertain. July Q&A, pages 3-4.

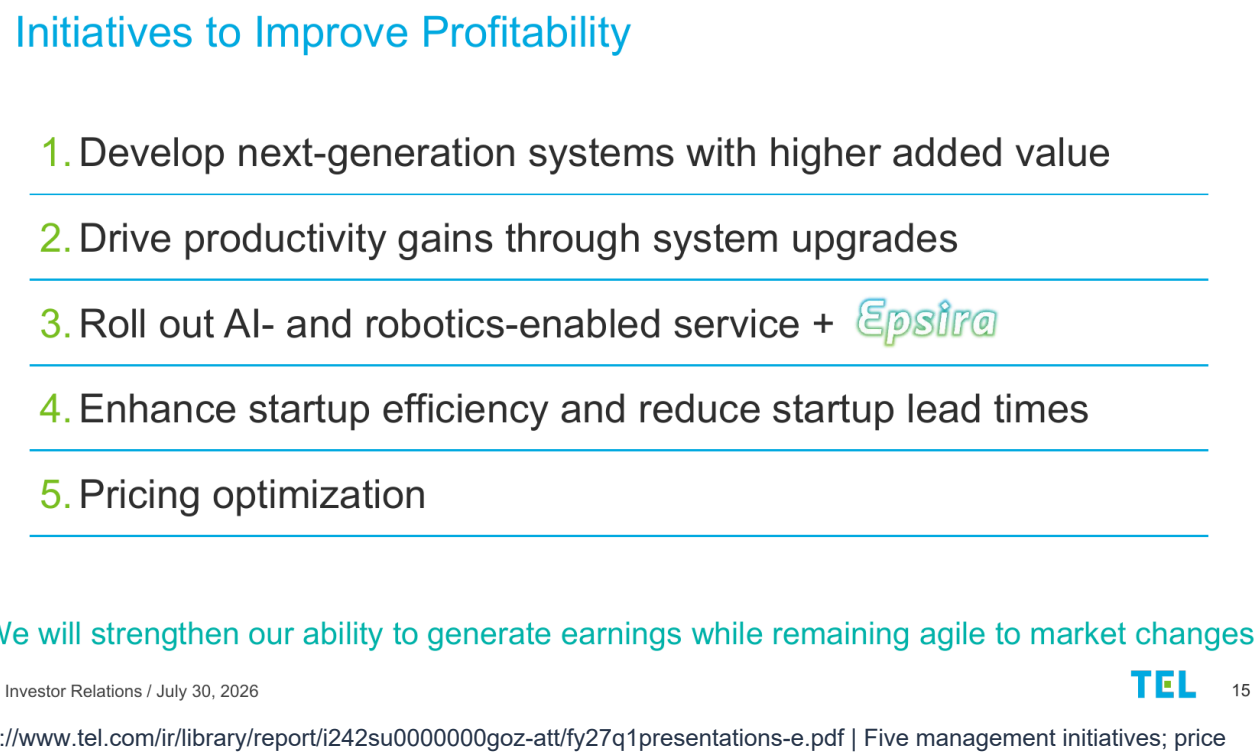
The active pricing branch assigns **65% probability** to a 4% premium on 50% of reference new equipment. It starts at 25% of full run rate in Q4 2026, rises to 75% in Q1 2027 and reaches full run rate in Q2 2027. Only 70% of the premium becomes GP and another 5% is spent on selling/qualification, leaving 65% conditional OP retention. Thus this is partly cost recovery. The bounded alternatives are 2-6% pricing, 30-70% eligibility and 50-80% GP retention. Fixed-price backlog is not assumed automatically repriced.

Two additional branches cover residual accepted process wins (**55%**) and packaging-tool wins (**50%**), each above a growing reference. Their conditional OP retention is 38% and 33%, respectively. The process branch assumes 40/90/120/130 incremental equivalent systems in 2027-30 at JPY500m; the packaging branch assumes 40/80/100/120 at JPY250m. These ASPs and units are bounded modeling proxies, not disclosed shipments. A **30%** probability residual ramp-cost branch removes 0.5% of reference new-equipment revenue from GP in 2027-28, fading thereafter.

For the active Q4 2027 valuation window, which is Q4 2027 plus Q1-Q3 2028, the full bridge is:

Increment above reference	Probability	Conditional sales, JPY bn	Weighted OP, JPY bn	Ceiling effect, JPY/share
TEL-PRICE	65%	67.47	28.51	250.63
TEL-PROCESS-WINS	55%	40.40	8.44	74.24
TEL-PACKAGING	50%	17.20	2.84	24.95
TEL-RAMP-COST	30%	0.00	-5.06	-44.49

The reference ceiling is JPY12,040.62; net evidence increments add JPY305.33, producing JPY12,345.95. The price premium is not applied to the incremental tool branches, service revenue or unallocated residual. Advanced packaging, more process steps and the factory plan support the same underlying operating forecast; none is counted again as a separate TAM shock.



https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | Five management initiatives; price changes also compensate for higher costs.

TEL

Q4 Could you tell us about your progress with price optimization over the past three months? Should we assume that the impact on sales will begin in H2 FY2027? Also, are adjustments being made for the current models as well?

A4 There has been an impact on costs to respond to inflation and production increases. Customers already understand the importance of price optimization, including for current models. We expect contributions to begin in H2 FY2027, with effects becoming visible in Q4.

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Q5 If we calculate GPM and OPM in the Q2 FY2027, the outlook is for a decline versus Q1. Could you explain this?

A5 In the margins for the Q2, the current forecast reflects the impact of the product mix and increases in fixed costs, such as labor expenses.

▲Top

Q6 You said that operating profit of one trillion yen is coming into view. Is this for FY2027 or for a period beyond that?

A6 It is for FY2027.

▲Top

Q7 You expect the CY2027 WFE market to grow by 20%+ year over year. Together with price optimization, should we expect FY2028 to see a substantial increase in revenue?

A7 In terms of revenue, we are in a situation where strong growth can be expected. We aim to improve profitability through the five initiatives listed on page 15 of the earnings presentation, such as by providing high-value-added products.

▲Top

Q8 At the earnings briefing in April, you mentioned the target of 50% GPM in two years. On a quarterly basis, would it be possible to achieve that in FY2028?

A8 We are carrying out activities with a focus on achieving this target in early FY2028.

▲Top

Q9 Given the significant growth in the WFE market, we can expect a decrease in the fixed cost ratio driven by revenue growth. Does this mean the OPM for FY2028 will approach the 35% target set in the current Medium-term Management Plan? Also, what level of OPM are you aiming for in the next Medium-term Management Plan?

A9 An OPM of 35% is a target that we are aiming for in the near term. In the next Medium-term Management Plan, we will aim beyond that. We will pursue world-class profitability by driving growth in our existing businesses, investing in efficiency improvements, and expanding our SAM by combining the technologies we already have.

▲Top

https://www.tel.com/ir/library/report/i242su0000000goz-att/FY27Q1_EarningCall_QA_E.pdf | The original Q&A distinguishes margin aspirations and price timing from formal financial guidance.

Qualified capacity and cash conversion

Miyagi's new production center is scheduled for summer 2027. The February 2025 plan identified an approximately JPY104bn investment and 88,600 square meters. Management later described an ultimate etch production capacity around three times the current level. That is an etch capacity ambition with an unspecified full ramp, not a commitment to triple company sales in summer 2027. Supplier quality, skilled assembly, chamber matching, factory testing, installation and customer acceptance all stand between a building and recognized revenue. Miyagi project announcement and July Q&A, page 5.

The FY2027 company plan includes JPY190bn capex, JPY330bn R&D and JPY100bn depreciation. The smart-factory targets and faster setup could improve output and the time from delivery to acceptance; their profit benefit is not separately added on top of the reference cost and mix improvements. Tool acceptance and customer cleanroom readiness remain the revenue timing gates. July presentation, page 19.

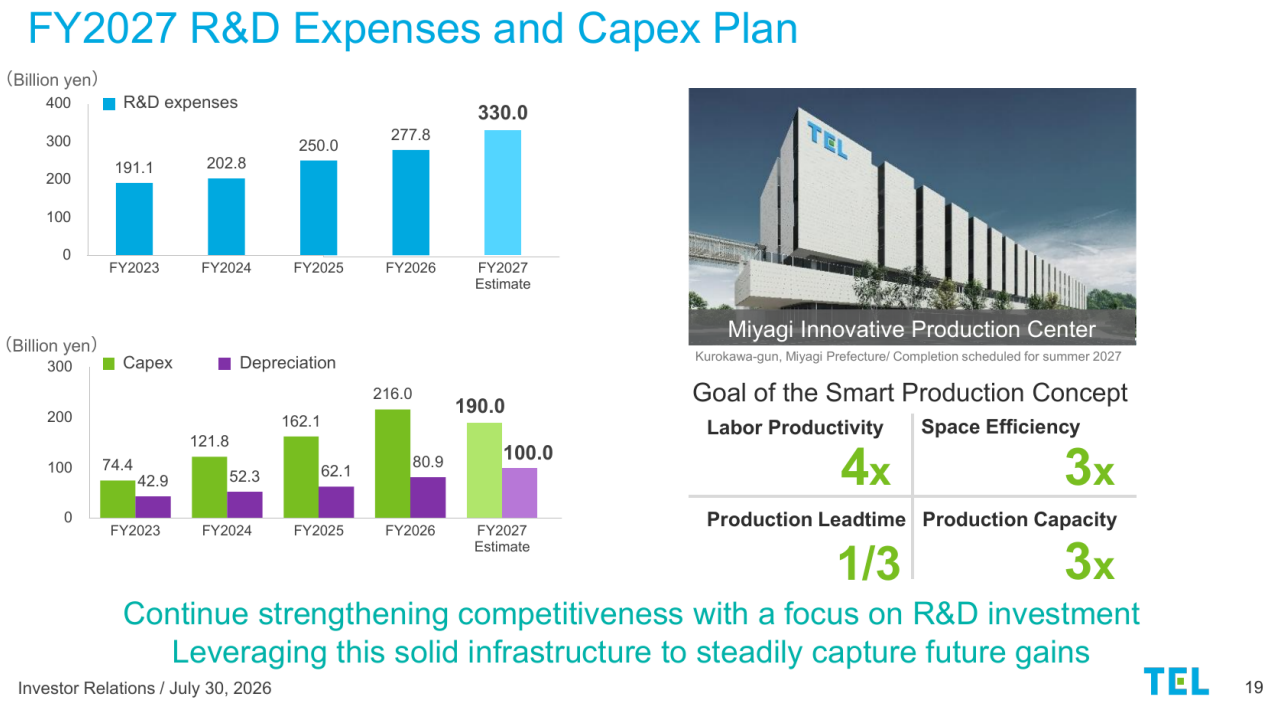
June cash/deposits were JPY409.608bn. The verified July buyback spent JPY138.525bn. Reserving the entire JPY56.780bn net pension liability leaves **JPY214.3bn** for the conservative funding test; JPY343.303bn of long-term investments is excluded. The issuer-forecast interim dividend is approximately JPY173.7bn using

post-July shares and the pre-split JPY384 dividend. Trust shares and later awards can change the precise payment. June balance sheet and cash flow and August 3 buyback completion notice.

The cash bridge starts with operating working capital of JPY857.390bn and explicitly funds receivables, inventory and acceptance timing. Reference DSO is 65 days, inventory 165 days, payables 35 days and customer advances 10% of annualized sales. It assumes 30% cash tax, 3% sales D&A addback, the remaining JPY150.1bn fiscal capex plan and later capex at 5% sales. After the forecast interim dividend, future distributions use 50% of after-tax OP as a cash proxy. No future buyback or equity funding is assumed.

Funding diagnostic	Minimum available cash, JPY bn	Quarter
Reference collections	205.7	Q4 2026
Slower collections and inventory turnover	-172.1	Q4 2026
Severe demand and working-capital stress	-415.9	Q4 2026
Severe stress with prospective distributions curtailed	-415.9	Q4 2026

The slower-collection case uses 80 receivable days, 190 inventory days and 8% customer advances. The severe case combines 20% lower sales, five percentage points lower GP margin, unchanged recurring operating expenses, 95 receivable days and 220 inventory days. It is a stress rather than an extra probability-selected model. Any negative figure denotes a cash shortfall before financing, investment sales or operating adjustments. Prospective dividend flexibility is shown separately and cannot reverse already completed repurchases or the forecast interim payment retained in the stress. The reference supports the unchanged equity funding path; severe synchronized shocks remain a real risk.



https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf | Capex and R&D plan; the Miyagi plant is scheduled for summer 2027.

Shares, valuation and sensitivity

June issued shares were 468.032733m and treasury shares 13.381537m, including 1.308766m in BIP/ESOP trusts. July repurchases removed another 2.2368m shares. Applying the five-for-one split gives **2,262.07198m common shares excluding treasury** as a verified starting reconciliation. The October 1 issued total is 2,340.163665m, which includes treasury and is not the valuation denominator. The employee scheme continues but had no immediate additional trust-funding plan in the July notice. The model reserves 0.25% annual net dilution for awards and options, includes their expense in OP, and grants no credit for unannounced repurchases. July results, share table, buyback completion, stock information and employee trust notice.

The active Q4 2027 calculation is **20 x JPY1,404.238bn F4Q OP ÷ 2,274.816m shares = JPY12,345.95**. R&D, SBC and depreciation are deducted once. There is no securities-sale profit in the numerator, no excess-cash valuation bonus and no book minority interest to subtract. Identified pension obligations are covered in the conservative liquidity reserve, and the current balance sheet has no separate material borrowing line. A new material net financial claim would reduce equity value.

An operating sensitivity with 20% lower reference sales, unchanged R&D, only 10% lower other SG&A and no positive overlays gives **JPY8,659** for the same quarter and share basis. Separately, every one-percentage-point change in active-window operating margin changes the ceiling by about **JPY376**, and 5% additional shares would reduce the active ceiling to about **JPY11,758**. These tests show why a high-quality tool franchise still needs disciplined valuation and cash conversion.

Ceiling quarter	Active quarter sales, JPY bn	Active quarter OP, JPY bn	Quarter-end shares, million	20x F4Q ceiling, JPY
Q3 2026	887.6	246.6	2,263.48	9,706
Q4 2026	972.5	302.1	2,264.90	10,118
Q1 2027	859.8	270.8	2,266.31	10,428
Q2 2027	900.5	281.1	2,267.73	11,014
Q3 2027	939.0	294.0	2,269.14	11,675
Q4 2027	1,052.4	338.0	2,270.56	12,346
Q1 2028	1,030.6	338.0	2,271.98	13,132
Q2 2028	1,075.4	357.1	2,273.40	13,409
Q3 2028	1,120.2	371.1	2,274.82	13,693
Q4 2028	1,254.7	428.3	2,276.24	14,029
Q1 2029	1,144.1	370.5	2,277.66	14,405
Q2 2029	1,193.8	390.5	2,279.08	14,659
Q3 2029	1,243.6	410.4	2,280.50	14,936
Q4 2029	1,392.8	472.2	2,281.93	15,219
Q1 2030	1,245.2	400.5	2,283.35	15,546

Score, catalysts and failure conditions

Framework component	Points	Reason
Core Thesis	17	Qualified multi-process equipment, an extensive installed base and a dominant coating/developing position; monopoly strength does not extend to etch or all equipment.
Cycle Stage	8	Order inquiries and formal half-year guidance are accelerating, but tool investment remains cyclical and advanced nodes are concentrated.
TAM Expansion	8	GAA, backside power, DRAM structures, NAND layer count and packaging increase process content; explicit company capture is bounded.
Catalysts	4	October half-year results, realized pricing from late FY2027, CY2027 cryogenic qualification and summer-2027 Miyagi completion.
Macro	8	AI infrastructure investment is strong; China export restrictions, energy and customer-site availability constrain timing.
Alpha	3	Fiscal timing, split-adjusted shares, cumulative-versus-annual sales and cost-retained pricing reconcile the engineering story to common equity.
Risks	-5	Five classes: customer/cycle concentration; export/geopolitics; technical competition and qualification; capacity/startup/cost execution; valuation and cash conversion.

The total is 43/60, rounded to analytical Base 72. This is a research score, not a portfolio manual override. The key near-term tests are the next half-year results, accepted new-equipment shipments, realized price retention, and the composition of the unallocated revenue residual. Through 2027, track cryogenic process acceptance, prober and bonding revenue, Miyagi startup milestones and the amount of cash tied up in inventory and customer acceptance.

The strongest counter-evidence is concrete: FY2026 OP fell; April management attributed etch share loss to delivery timing, customer mix and regulatory adjustments; July emphasized currency translation. Lam has a mature competing cryogenic installed base, while Applied is introducing overlapping GAA process technologies. Higher prices may simply reimburse higher costs. Customer capital plans can outpace cleanrooms, power and qualified parts. China represented approximately 30% of the June-quarter regional sales slide, and restrictions can affect what can be delivered and when. These are reasons to retain bounded increments and a cyclical stress, not to assign zero to every unconfirmed growth opportunity.

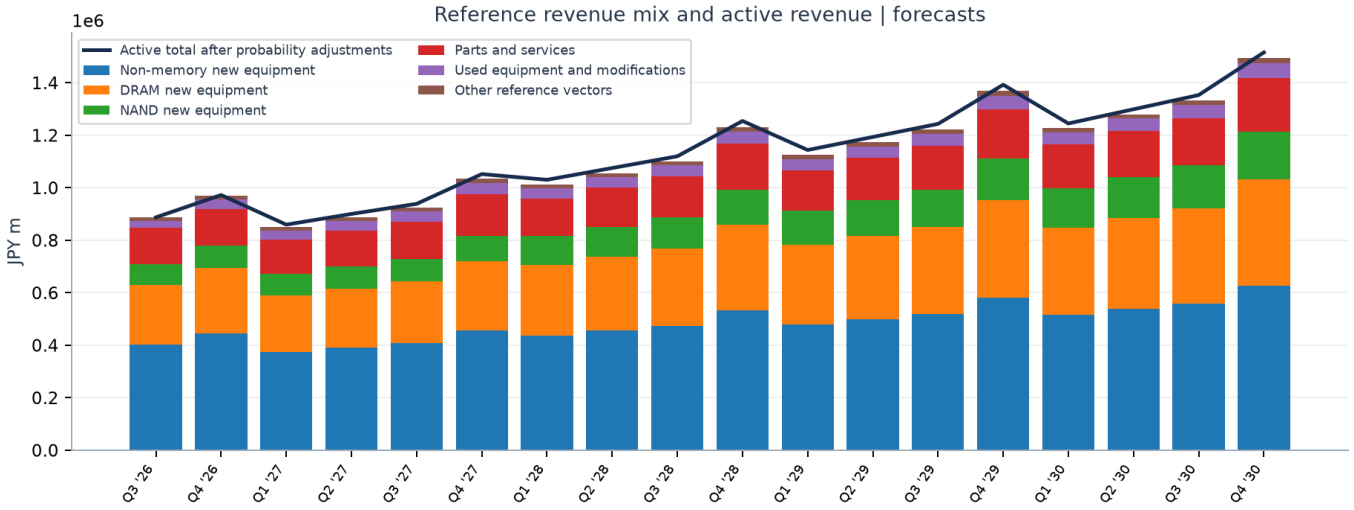
Outstanding inputs remain exact product profitability, accepted tool counts/ASPs, repricing eligibility, the unallocated sales scope, detailed current lease/commitment cash scheduling and post-July award movements.

The original issuer exhibits and complete source register accompany the model so these gaps can be closed without replacing evidence with analyst targets.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Qualified multi-process equipment, an extensive installed base and a dominant coating/developing position; monopoly strength does not extend to etch or all equipment.
Cycle	8	Order inquiries and formal half-year guidance are accelerating, but tool investment remains cyclical and advanced nodes are concentrated.
TAM	8	GAA, backside power, DRAM structures, NAND layer count and packaging increase process content; explicit company capture is bounded.
Catalysts	4	October half-year results, realized pricing from late FY2027, CY2027 cryogenic qualification and summer-2027 Miyagi completion.
Macro	8	AI infrastructure investment is strong; China export restrictions, energy and customer-site availability constrain timing.
Alpha	3	Fiscal timing, split-adjusted shares, cumulative-versus-annual sales and cost-retained pricing reconcile the engineering story to common equity.
Risk classes	-5	Five classes: customer/cycle concentration; export/geopolitics; technical competition and qualification; capacity/startup/cost execution; valuation and cash conversion.
Total	43/60	Rounded Base 72. Both artifact and new workbook row use this score; this is not a manual override.

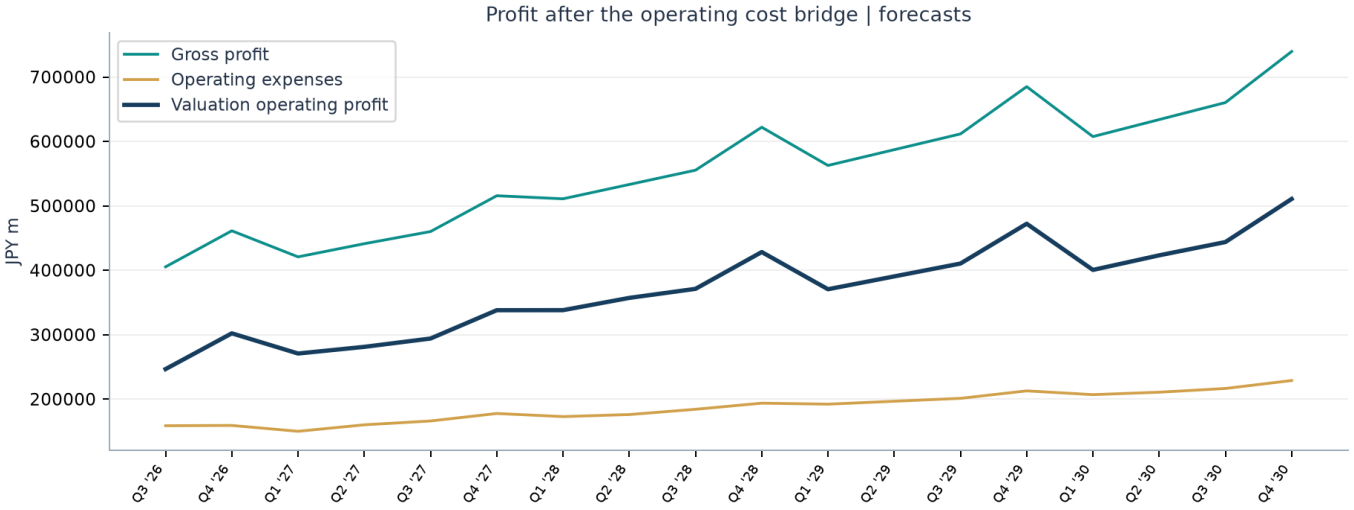
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	887,612.0	0.0	887,612.0
Q4 2026	970,000.0	2,535.0	972,535.0
Q1 2027	851,000.0	8,798.1	859,798.1
Q2 2027	888,000.0	12,510.4	900,510.4
Q3 2027	925,000.0	14,040.0	939,040.0
Q4 2027	1,036,000.0	16,428.8	1,052,428.8
Q1 2028	1,012,000.0	18,607.0	1,030,607.0
Q2 2028	1,056,000.0	19,416.0	1,075,416.0
Q3 2028	1,100,000.0	20,225.0	1,120,225.0
Q4 2028	1,232,000.0	22,652.0	1,254,652.0
Q1 2029	1,124,700.0	19,367.7	1,144,067.7
Q2 2029	1,173,600.0	20,209.8	1,193,809.8
Q3 2029	1,222,500.0	21,051.9	1,243,551.9
Q4 2029	1,369,200.0	23,578.1	1,392,778.1
Q1 2030	1,227,050.0	18,160.8	1,245,210.8
Q2 2030	1,280,400.0	18,950.4	1,299,350.4
Q3 2030	1,333,750.0	19,740.0	1,353,490.0
Q4 2030	1,493,800.0	22,108.8	1,515,908.8

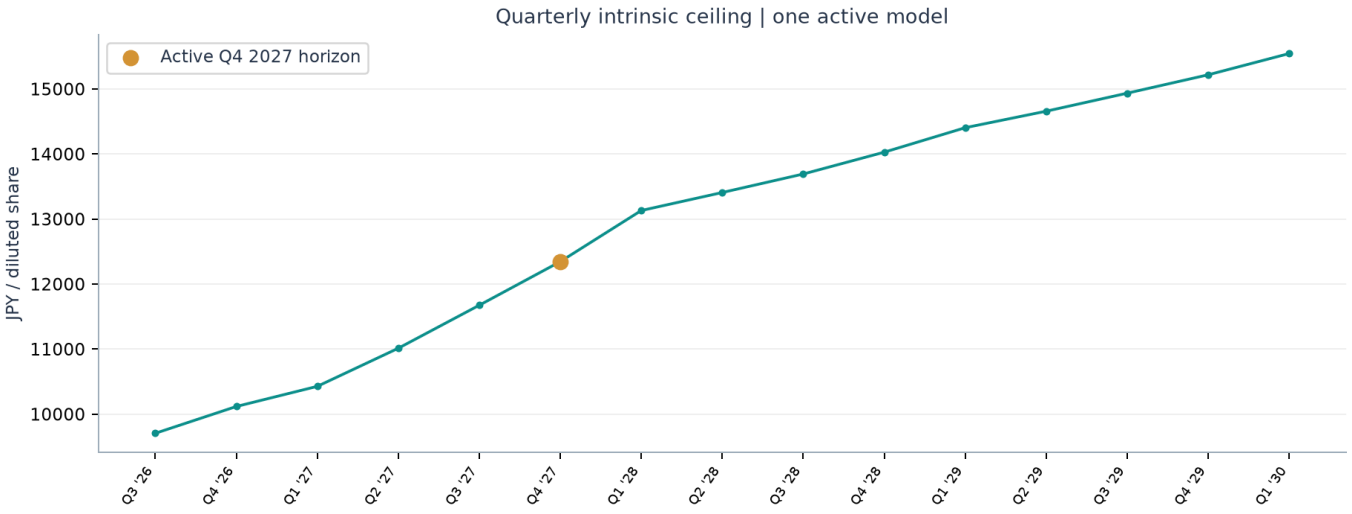
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	887,612.0	405,288.0	158,695.0	246,593.0	27.8%
Q4 2026	972,535.0	461,225.5	159,126.8	302,098.8	31.1%
Q1 2027	859,798.1	420,782.8	150,031.9	270,750.9	31.5%
Q2 2027	900,510.4	441,198.1	160,099.5	281,098.6	31.2%
Q3 2027	939,040.0	460,085.5	166,058.0	294,027.5	31.3%
Q4 2027	1,052,428.8	515,647.8	177,669.4	337,978.3	32.1%
Q1 2028	1,030,607.0	510,900.2	172,858.8	338,041.3	32.8%
Q2 2028	1,075,416.0	533,113.2	176,026.6	357,086.6	33.2%
Q3 2028	1,120,225.0	555,326.2	184,194.4	371,131.9	33.1%
Q4 2028	1,254,652.0	621,965.4	193,697.7	428,267.7	34.1%
Q1 2029	1,144,067.7	562,658.8	192,137.2	370,521.6	32.4%
Q2 2029	1,193,809.8	587,122.3	196,664.9	390,457.4	32.7%
Q3 2029	1,243,551.9	611,585.7	201,192.6	410,393.1	33.0%
Q4 2029	1,392,778.1	684,976.0	212,775.7	472,200.3	33.9%
Q1 2030	1,245,210.8	607,452.3	206,928.6	400,523.7	32.2%
Q2 2030	1,299,350.4	633,863.3	210,708.1	423,155.2	32.6%
Q3 2030	1,353,490.0	660,274.2	216,487.6	443,786.6	32.8%
Q4 2030	1,515,908.8	739,507.2	228,826.1	510,681.0	33.7%

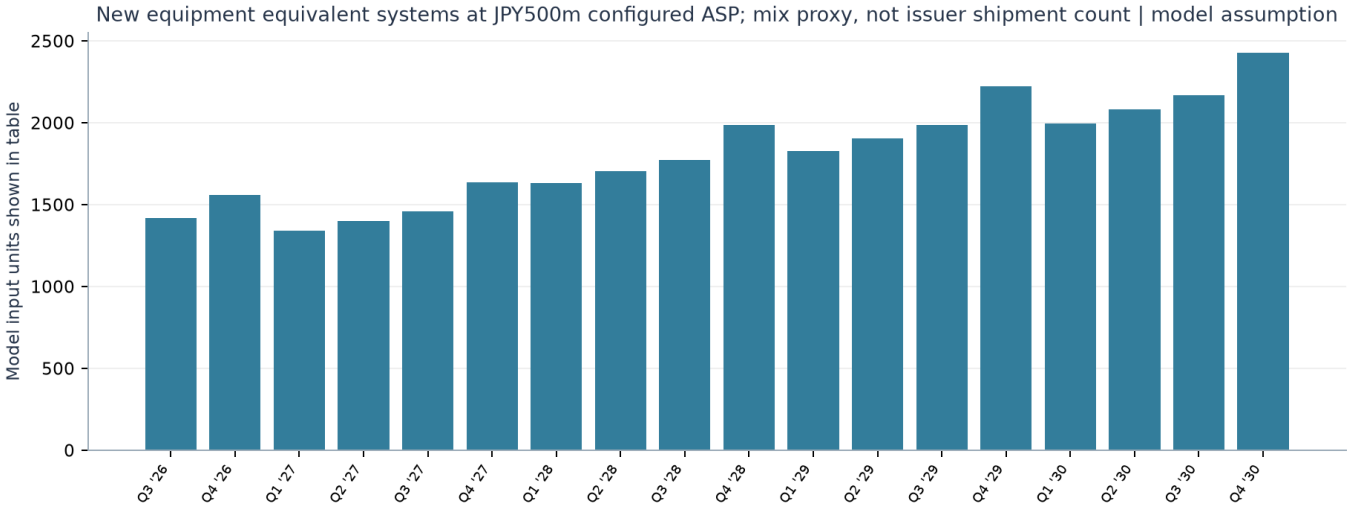
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	1,100,541.2	20x	2,267.727	9,706.12
Q4 2026	Q4 2026 to Q3 2027	1,147,975.7	20x	2,269.143	10,118.14
Q1 2027	Q1 2027 to Q4 2027	1,183,855.2	20x	2,270.560	10,427.87
Q2 2027	Q2 2027 to Q1 2028	1,251,145.7	20x	2,271.978	11,013.71
Q3 2027	Q3 2027 to Q2 2028	1,327,133.7	20x	2,273.396	11,675.34
Q4 2027	Q4 2027 to Q3 2028	1,404,238.1	20x	2,274.816	12,345.95
Q1 2028	Q1 2028 to Q4 2028	1,494,527.5	20x	2,276.236	13,131.57
Q2 2028	Q2 2028 to Q1 2029	1,527,007.8	20x	2,277.658	13,408.58
Q3 2028	Q3 2028 to Q2 2029	1,560,378.6	20x	2,279.080	13,693.06
Q4 2028	Q4 2028 to Q3 2029	1,599,639.8	20x	2,280.503	14,028.83
Q1 2029	Q1 2029 to Q4 2029	1,643,572.4	20x	2,281.927	14,405.13
Q2 2029	Q2 2029 to Q1 2030	1,673,574.4	20x	2,283.352	14,658.93
Q3 2029	Q3 2029 to Q2 2030	1,706,272.2	20x	2,284.778	14,936.00
Q4 2029	Q4 2029 to Q3 2030	1,739,665.7	20x	2,286.204	15,218.81
Q1 2030	Q1 2030 to Q4 2030	1,778,146.5	20x	2,287.632	15,545.74

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	New equipment equivalent systems at JPY500m configured ASP; mix proxy, not issuer shipment count	Status
Q3 2026	1,417.400	Formal H1 guidance less reported Q2 actual; not released Q3 actual
Q4 2026	1,560.000	Model assumption
Q1 2027	1,343.200	Model assumption
Q2 2027	1,401.600	Model assumption
Q3 2027	1,460.000	Model assumption
Q4 2027	1,635.200	Model assumption
Q1 2028	1,633.000	Model assumption
Q2 2028	1,704.000	Model assumption
Q3 2028	1,775.000	Model assumption
Q4 2028	1,988.000	Model assumption
Q1 2029	1,826.200	Model assumption
Q2 2029	1,905.600	Model assumption
Q3 2029	1,985.000	Model assumption
Q4 2029	2,223.200	Model assumption
Q1 2030	1,996.400	Model assumption
Q2 2030	2,083.200	Model assumption
Q3 2030	2,170.000	Model assumption
Q4 2030	2,430.400	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Non-memory new equipment	403,959.0	45.7%	184,664.6
Q3 2026	DRAM new equipment	226,784.0	46.7%	105,853.9
Q3 2026	NAND new equipment	77,957.0	43.3%	33,761.4
Q3 2026	Parts and services	140,000.0	48.1%	67,367.5
Q3 2026	Used equipment and modifications	25,000.0	38.5%	9,623.9
Q3 2026	Unallocated sales reconciliation	13,912.0	28.9%	4,016.6
Q4 2026	Non-memory new equipment	444,600.0	47.5%	211,185.0
Q4 2026	DRAM new equipment	249,600.0	48.5%	121,056.0
Q4 2026	NAND new equipment	85,800.0	45.0%	38,610.0
Q4 2026	Parts and services	140,000.0	50.0%	70,000.0
Q4 2026	Used equipment and modifications	36,000.0	40.0%	14,400.0
Q4 2026	Unallocated sales reconciliation	14,000.0	30.0%	4,200.0
Q1 2027	Non-memory new equipment	374,900.0	49.0%	183,701.0
Q1 2027	DRAM new equipment	216,200.0	50.5%	109,181.0
Q1 2027	NAND new equipment	80,500.0	47.0%	37,835.0
Q1 2027	Parts and services	129,950.0	51.0%	66,274.5
Q1 2027	Used equipment and modifications	35,650.0	42.0%	14,973.0
Q1 2027	Unallocated sales reconciliation	13,800.0	30.0%	4,140.0
Q2 2027	Non-memory new equipment	391,200.0	49.0%	191,688.0
Q2 2027	DRAM new equipment	225,600.0	50.5%	113,928.0
Q2 2027	NAND new equipment	84,000.0	47.0%	39,480.0
Q2 2027	Parts and services	135,600.0	51.0%	69,156.0
Q2 2027	Used equipment and modifications	37,200.0	42.0%	15,624.0
Q2 2027	Unallocated sales reconciliation	14,400.0	30.0%	4,320.0
Q3 2027	Non-memory new equipment	407,500.0	49.0%	199,675.0
Q3 2027	DRAM new equipment	235,000.0	50.5%	118,675.0
Q3 2027	NAND new equipment	87,500.0	47.0%	41,125.0
Q3 2027	Parts and services	141,250.0	51.0%	72,037.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Used equipment and modifications	38,750.0	42.0%	16,275.0
Q3 2027	Unallocated sales reconciliation	15,000.0	30.0%	4,500.0
Q4 2027	Non-memory new equipment	456,400.0	49.0%	223,636.0
Q4 2027	DRAM new equipment	263,200.0	50.5%	132,916.0
Q4 2027	NAND new equipment	98,000.0	47.0%	46,060.0
Q4 2027	Parts and services	158,200.0	51.0%	80,682.0
Q4 2027	Used equipment and modifications	43,400.0	42.0%	18,228.0
Q4 2027	Unallocated sales reconciliation	16,800.0	30.0%	5,040.0
Q1 2028	Non-memory new equipment	437,000.0	49.5%	216,315.0
Q1 2028	DRAM new equipment	269,100.0	51.0%	137,241.0
Q1 2028	NAND new equipment	110,400.0	48.0%	52,992.0
Q1 2028	Parts and services	142,600.0	51.5%	73,439.0
Q1 2028	Used equipment and modifications	39,100.0	42.5%	16,617.5
Q1 2028	Unallocated sales reconciliation	13,800.0	30.0%	4,140.0
Q2 2028	Non-memory new equipment	456,000.0	49.5%	225,720.0
Q2 2028	DRAM new equipment	280,800.0	51.0%	143,208.0
Q2 2028	NAND new equipment	115,200.0	48.0%	55,296.0
Q2 2028	Parts and services	148,800.0	51.5%	76,632.0
Q2 2028	Used equipment and modifications	40,800.0	42.5%	17,340.0
Q2 2028	Unallocated sales reconciliation	14,400.0	30.0%	4,320.0
Q3 2028	Non-memory new equipment	475,000.0	49.5%	235,125.0
Q3 2028	DRAM new equipment	292,500.0	51.0%	149,175.0
Q3 2028	NAND new equipment	120,000.0	48.0%	57,600.0
Q3 2028	Parts and services	155,000.0	51.5%	79,825.0
Q3 2028	Used equipment and modifications	42,500.0	42.5%	18,062.5
Q3 2028	Unallocated sales reconciliation	15,000.0	30.0%	4,500.0
Q4 2028	Non-memory new equipment	532,000.0	49.5%	263,340.0
Q4 2028	DRAM new equipment	327,600.0	51.0%	167,076.0
Q4 2028	NAND new equipment	134,400.0	48.0%	64,512.0
Q4 2028	Parts and services	173,600.0	51.5%	89,404.0
Q4 2028	Used equipment and modifications	47,600.0	42.5%	20,230.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Unallocated sales reconciliation	16,800.0	30.0%	5,040.0
Q1 2029	Non-memory new equipment	478,400.0	49.0%	234,416.0
Q1 2029	DRAM new equipment	303,600.0	50.5%	153,318.0
Q1 2029	NAND new equipment	131,100.0	47.5%	62,272.5
Q1 2029	Parts and services	154,100.0	51.5%	79,361.5
Q1 2029	Used equipment and modifications	42,550.0	42.5%	18,083.8
Q1 2029	Unallocated sales reconciliation	14,950.0	30.0%	4,485.0
Q2 2029	Non-memory new equipment	499,200.0	49.0%	244,608.0
Q2 2029	DRAM new equipment	316,800.0	50.5%	159,984.0
Q2 2029	NAND new equipment	136,800.0	47.5%	64,980.0
Q2 2029	Parts and services	160,800.0	51.5%	82,812.0
Q2 2029	Used equipment and modifications	44,400.0	42.5%	18,870.0
Q2 2029	Unallocated sales reconciliation	15,600.0	30.0%	4,680.0
Q3 2029	Non-memory new equipment	520,000.0	49.0%	254,800.0
Q3 2029	DRAM new equipment	330,000.0	50.5%	166,650.0
Q3 2029	NAND new equipment	142,500.0	47.5%	67,687.5
Q3 2029	Parts and services	167,500.0	51.5%	86,262.5
Q3 2029	Used equipment and modifications	46,250.0	42.5%	19,656.2
Q3 2029	Unallocated sales reconciliation	16,250.0	30.0%	4,875.0
Q4 2029	Non-memory new equipment	582,400.0	49.0%	285,376.0
Q4 2029	DRAM new equipment	369,600.0	50.5%	186,648.0
Q4 2029	NAND new equipment	159,600.0	47.5%	75,810.0
Q4 2029	Parts and services	187,600.0	51.5%	96,614.0
Q4 2029	Used equipment and modifications	51,800.0	42.5%	22,015.0
Q4 2029	Unallocated sales reconciliation	18,200.0	30.0%	5,460.0
Q1 2030	Non-memory new equipment	515,200.0	48.5%	249,872.0
Q1 2030	DRAM new equipment	333,500.0	50.0%	166,750.0
Q1 2030	NAND new equipment	149,500.0	47.0%	70,265.0
Q1 2030	Parts and services	166,750.0	51.5%	85,876.2
Q1 2030	Used equipment and modifications	46,000.0	42.5%	19,550.0
Q1 2030	Unallocated sales reconciliation	16,100.0	30.0%	4,830.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Non-memory new equipment	537,600.0	48.5%	260,736.0
Q2 2030	DRAM new equipment	348,000.0	50.0%	174,000.0
Q2 2030	NAND new equipment	156,000.0	47.0%	73,320.0
Q2 2030	Parts and services	174,000.0	51.5%	89,610.0
Q2 2030	Used equipment and modifications	48,000.0	42.5%	20,400.0
Q2 2030	Unallocated sales reconciliation	16,800.0	30.0%	5,040.0
Q3 2030	Non-memory new equipment	560,000.0	48.5%	271,600.0
Q3 2030	DRAM new equipment	362,500.0	50.0%	181,250.0
Q3 2030	NAND new equipment	162,500.0	47.0%	76,375.0
Q3 2030	Parts and services	181,250.0	51.5%	93,343.8
Q3 2030	Used equipment and modifications	50,000.0	42.5%	21,250.0
Q3 2030	Unallocated sales reconciliation	17,500.0	30.0%	5,250.0
Q4 2030	Non-memory new equipment	627,200.0	48.5%	304,192.0
Q4 2030	DRAM new equipment	406,000.0	50.0%	203,000.0
Q4 2030	NAND new equipment	182,000.0	47.0%	85,540.0
Q4 2030	Parts and services	203,000.0	51.5%	104,545.0
Q4 2030	Used equipment and modifications	56,000.0	42.5%	23,800.0
Q4 2030	Unallocated sales reconciliation	19,600.0	30.0%	5,880.0

Operating-cost derivation

Quarter	Expensed research and development	Other recurring SG&A
Q3 2026	87,954.0	70,741.0
Q4 2026	85,000.0	74,000.0
Q1 2027	85,000.0	64,400.0
Q2 2027	92,000.0	67,200.0
Q3 2027	95,000.0	70,000.0
Q4 2027	98,000.0	78,400.0
Q1 2028	100,000.0	71,300.0
Q2 2028	100,000.0	74,400.0
Q3 2028	105,000.0	77,500.0
Q4 2028	105,000.0	86,800.0
Q1 2029	111,000.0	79,350.0
Q2 2029	112,000.0	82,800.0
Q3 2029	113,000.0	86,250.0
Q4 2029	114,000.0	96,600.0
Q1 2030	120,000.0	85,100.0
Q2 2030	120,000.0	88,800.0
Q3 2030	122,000.0	92,500.0
Q4 2030	123,000.0	103,600.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Weighted OP below is after the stated minority operating-profit attribution. Conditional gross profit and expenses remain consolidated figures.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	TEL-PRICE	65%	0.0	0.0	0.0	0.0
Q3 2026	TEL-PROCESS-WINS	55%	0.0	0.0	0.0	0.0
Q3 2026	TEL-PACKAGING	50%	0.0	0.0	0.0	0.0
Q3 2026	TEL-RAMP-COST	30%	0.0	0.0	0.0	0.0
Q4 2026	TEL-PRICE	65%	3,900.0	2,730.0	195.0	1,647.8
Q4 2026	TEL-PROCESS-WINS	55%	0.0	0.0	0.0	0.0
Q4 2026	TEL-PACKAGING	50%	0.0	0.0	0.0	0.0
Q4 2026	TEL-RAMP-COST	30%	0.0	0.0	0.0	0.0
Q1 2027	TEL-PRICE	65%	10,074.0	7,051.8	503.7	4,256.3
Q1 2027	TEL-PROCESS-WINS	55%	2,000.0	1,000.0	240.0	418.0
Q1 2027	TEL-PACKAGING	50%	2,300.0	1,104.0	345.0	379.5
Q1 2027	TEL-RAMP-COST	30%	0.0	-3,358.0	0.0	-1,007.4
Q2 2027	TEL-PRICE	65%	14,016.0	9,811.2	700.8	5,921.8
Q2 2027	TEL-PROCESS-WINS	55%	4,000.0	2,000.0	480.0	836.0
Q2 2027	TEL-PACKAGING	50%	2,400.0	1,152.0	360.0	396.0
Q2 2027	TEL-RAMP-COST	30%	0.0	-3,504.0	0.0	-1,051.2
Q3 2027	TEL-PRICE	65%	14,600.0	10,220.0	730.0	6,168.5
Q3 2027	TEL-PROCESS-WINS	55%	6,000.0	3,000.0	720.0	1,254.0
Q3 2027	TEL-PACKAGING	50%	2,500.0	1,200.0	375.0	412.5
Q3 2027	TEL-RAMP-COST	30%	0.0	-3,650.0	0.0	-1,095.0
Q4 2027	TEL-PRICE	65%	16,352.0	11,446.4	817.6	6,908.7
Q4 2027	TEL-PROCESS-WINS	55%	8,000.0	4,000.0	960.0	1,672.0
Q4 2027	TEL-PACKAGING	50%	2,800.0	1,344.0	420.0	462.0
Q4 2027	TEL-RAMP-COST	30%	0.0	-4,088.0	0.0	-1,226.4
Q1 2028	TEL-PRICE	65%	16,330.0	11,431.0	816.5	6,899.4
Q1 2028	TEL-PROCESS-WINS	55%	10,350.0	5,175.0	1,242.0	2,163.2
Q1 2028	TEL-PACKAGING	50%	4,600.0	2,208.0	690.0	759.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	TEL-RAMP-COST	30%	0.0	-4,082.5	0.0	-1,224.8
Q2 2028	TEL-PRICE	65%	17,040.0	11,928.0	852.0	7,199.4
Q2 2028	TEL-PROCESS-WINS	55%	10,800.0	5,400.0	1,296.0	2,257.2
Q2 2028	TEL-PACKAGING	50%	4,800.0	2,304.0	720.0	792.0
Q2 2028	TEL-RAMP-COST	30%	0.0	-4,260.0	0.0	-1,278.0
Q3 2028	TEL-PRICE	65%	17,750.0	12,425.0	887.5	7,499.4
Q3 2028	TEL-PROCESS-WINS	55%	11,250.0	5,625.0	1,350.0	2,351.2
Q3 2028	TEL-PACKAGING	50%	5,000.0	2,400.0	750.0	825.0
Q3 2028	TEL-RAMP-COST	30%	0.0	-4,437.5	0.0	-1,331.2
Q4 2028	TEL-PRICE	65%	19,880.0	13,916.0	994.0	8,399.3
Q4 2028	TEL-PROCESS-WINS	55%	12,600.0	6,300.0	1,512.0	2,633.4
Q4 2028	TEL-PACKAGING	50%	5,600.0	2,688.0	840.0	924.0
Q4 2028	TEL-RAMP-COST	30%	0.0	-4,970.0	0.0	-1,491.0
Q1 2029	TEL-PRICE	65%	13,696.5	9,587.5	684.8	5,786.8
Q1 2029	TEL-PROCESS-WINS	55%	13,800.0	6,900.0	1,656.0	2,884.2
Q1 2029	TEL-PACKAGING	50%	5,750.0	2,760.0	862.5	948.8
Q1 2029	TEL-RAMP-COST	30%	0.0	-2,282.8	0.0	-684.8
Q2 2029	TEL-PRICE	65%	14,292.0	10,004.4	714.6	6,038.4
Q2 2029	TEL-PROCESS-WINS	55%	14,400.0	7,200.0	1,728.0	3,009.6
Q2 2029	TEL-PACKAGING	50%	6,000.0	2,880.0	900.0	990.0
Q2 2029	TEL-RAMP-COST	30%	0.0	-2,382.0	0.0	-714.6
Q3 2029	TEL-PRICE	65%	14,887.5	10,421.2	744.4	6,290.0
Q3 2029	TEL-PROCESS-WINS	55%	15,000.0	7,500.0	1,800.0	3,135.0
Q3 2029	TEL-PACKAGING	50%	6,250.0	3,000.0	937.5	1,031.2
Q3 2029	TEL-RAMP-COST	30%	0.0	-2,481.2	0.0	-744.4
Q4 2029	TEL-PRICE	65%	16,674.0	11,671.8	833.7	7,044.8
Q4 2029	TEL-PROCESS-WINS	55%	16,800.0	8,400.0	2,016.0	3,511.2
Q4 2029	TEL-PACKAGING	50%	7,000.0	3,360.0	1,050.0	1,155.0
Q4 2029	TEL-RAMP-COST	30%	0.0	-2,779.0	0.0	-833.7
Q1 2030	TEL-PRICE	65%	9,982.0	6,987.4	499.1	4,217.4
Q1 2030	TEL-PROCESS-WINS	55%	14,950.0	7,475.0	1,794.0	3,124.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	TEL-PACKAGING	50%	6,900.0	3,312.0	1,035.0	1,138.5
Q1 2030	TEL-RAMP-COST	30%	0.0	-0.0	0.0	-0.0
Q2 2030	TEL-PRICE	65%	10,416.0	7,291.2	520.8	4,400.8
Q2 2030	TEL-PROCESS-WINS	55%	15,600.0	7,800.0	1,872.0	3,260.4
Q2 2030	TEL-PACKAGING	50%	7,200.0	3,456.0	1,080.0	1,188.0
Q2 2030	TEL-RAMP-COST	30%	0.0	-0.0	0.0	-0.0
Q3 2030	TEL-PRICE	65%	10,850.0	7,595.0	542.5	4,584.1
Q3 2030	TEL-PROCESS-WINS	55%	16,250.0	8,125.0	1,950.0	3,396.3
Q3 2030	TEL-PACKAGING	50%	7,500.0	3,600.0	1,125.0	1,237.5
Q3 2030	TEL-RAMP-COST	30%	0.0	-0.0	0.0	-0.0
Q4 2030	TEL-PRICE	65%	12,152.0	8,506.4	607.6	5,134.2
Q4 2030	TEL-PROCESS-WINS	55%	18,200.0	9,100.0	2,184.0	3,803.8
Q4 2030	TEL-PACKAGING	50%	8,400.0	4,032.0	1,260.0	1,386.0
Q4 2030	TEL-RAMP-COST	30%	0.0	-0.0	0.0	-0.0

Consolidated profit to the common shareholder claim

Minority attribution is an earnings allocation, not operating expense or a fixed book-value deduction. Its rate is a disclosed model proxy and moves with reference profit and each probability-weighted change.

Quarter	Consolidated OP	Minority rate	Minority allocation	Owner OP
Q3 2026	246,593.0	0.0%	0.0	246,593.0
Q4 2026	302,098.8	0.0%	0.0	302,098.8
Q1 2027	270,750.9	0.0%	0.0	270,750.9
Q2 2027	281,098.6	0.0%	0.0	281,098.6
Q3 2027	294,027.5	0.0%	0.0	294,027.5
Q4 2027	337,978.3	0.0%	0.0	337,978.3
Q1 2028	338,041.3	0.0%	0.0	338,041.3
Q2 2028	357,086.6	0.0%	0.0	357,086.6
Q3 2028	371,131.9	0.0%	0.0	371,131.9
Q4 2028	428,267.7	0.0%	0.0	428,267.7
Q1 2029	370,521.6	0.0%	0.0	370,521.6
Q2 2029	390,457.4	0.0%	0.0	390,457.4
Q3 2029	410,393.1	0.0%	0.0	410,393.1
Q4 2029	472,200.3	0.0%	0.0	472,200.3
Q1 2030	400,523.7	0.0%	0.0	400,523.7
Q2 2030	423,155.2	0.0%	0.0	423,155.2
Q3 2030	443,786.6	0.0%	0.0	443,786.6
Q4 2030	510,681.0	0.0%	0.0	510,681.0

Claim decisions, overlap and triggers

TEL-PRICE

p: 0.65

source ids: Q1_FY27_QA FY26_QA

date: 2026-07-30 briefing; August 3 summary

hypothesis: Price optimization partly restores economics on eligible new or revised equipment orders.

reference: Reference gross margin already improves through product mix and utilization. It contains no separate scarcity premium and does not force the 50% gross-margin aspiration.

Conditional: 4% premium on 50% of reference new equipment revenue; ramp 25% in Q4 2026, 75% in Q1 2027, 100% from Q2 2027 through 2028, fading to 75% in 2029 and 50% in 2030.

bounds: 2-6% gross premium, 30-70% eligible orders, 50-80% premium gross-profit retention. No issuer percentage was disclosed.

overlap: Applied only to the reference non-memory, DRAM and NAND pool, excluding service, used equipment, unallocated sales and incremental process-win sales. No second margin-uplift line is added.

cost bridge: 70% of additional premium reaches gross profit after component, labor, expediting and warranty costs; 5% additional sales/qualification expense leaves 65% incremental OP.

timing: Issuer expects contributions during October 2026-March 2027 and clearer effects January-March 2027; quarter recognition follows delivery and acceptance.

why p: Two management calls explicitly discuss customer negotiations and existing models, giving more support than a generic scarcity inference. Final prices, eligible backlog and retained margin are still undisclosed.

counter: Reduce if comparable realized mix-adjusted prices fail to rise or inflation consumes the increase. Raise only with delivery and retained-margin evidence.

TEL-PROCESS-WINS

p: 0.55

source ids: Q1_FY27_QA Q1_FY27_deck Lam_cryo

date: 2026-07-30

hypothesis: Some additional DRAM interconnect and NAND cryogenic process wins convert beyond the strong reference.

reference: Reference DRAM and NAND equipment sales already grow from JPY1.29T in CY2027 to JPY2.10T in 2030. Reference incorporates most of the announced process opportunity.

Conditional: JPY20000m/45000m/60000m/65000m incremental sales in CY2027/28/29/30; 70% DRAM, 30% NAND. At JPY500m per equivalent configured tool, 40/90/120/130 additional systems.

bounds: JPY300m-800m per equivalent tool; 2028 incremental revenue JPY15000m-70000m, not a disclosed unit forecast.

overlap: The JPY1T five-year interconnect-sales objective is cumulative; the July prepared remarks specify FY2030, ending March 2030. It is not an extra annual pool. Cryogenic etch is one part of the NAND vector; HBM bit demand and DRAM process complexity are not stacked as separate shocks.

cost bridge: 50% gross margin less 12% application engineering, R&D and field support gives 38% incremental OP.

timing: CY2027 mass-production qualification with only 10/20/30/40% of the 2027 increment in Q1/Q2/Q3/Q4; later annual increments follow the reference seasonality.

why p: Named process-of-record opportunities and specific technology timing support a positive increment, but Lam has an established competing cryogenic platform and qualification is customer-specific.

counter: Reduce for qualification slips, weaker accepted shipments or share losses. No forecast assumes exclusive technology or automatic displacement of Lam.

TEL-PACKAGING

p: 0.5

source ids: FY26_QA Q1_FY27_deck Annual_2026

date: 2026-04-30 and 2026-07-30

hypothesis: A bounded set of additional bonding, laser and device-prober wins exceeds the reference application mix.

reference: Advanced packaging is already inside the three new-equipment application vectors. The reference explicitly contains JPY80000m/110000m/130000m/140000m of bonding/laser sales in 2027/28/29/30, plus JPY40000m in 2026: cumulative JPY500000m as a calendar-year modeling allocation of the issuer five-year opportunity; its exact fiscal-versus-calendar endpoint remains a timing gap.

Conditional: JPY10000m/20000m/25000m/30000m additional packaging-tool sales in CY2027/28/29/30; at JPY250m per equivalent tool, 40/80/100/120 incremental systems. Assumed residual mix: half bond/laser, half device probers.

bounds: JPY150m-400m per equivalent tool; 2028 conditional revenue JPY0-35000m.

overlap: No separate advanced-packaging TAM is added to total new equipment. Only wins above the already strong reference are included; the annual 70% issuer growth indication and cumulative JPY500bn plan are not independent pools.

cost bridge: 48% gross margin less 15% launch, R&D, field qualification and service costs gives 33% incremental OP.

timing: Begins 2027 after acceptance; source identifies product introductions and inquiries, not named booked awards for every modeled system.

why p: Actual FY2026 bonding revenue around JPY30bn, product introductions and issuer 2027 prober outlook support conversion, while customer-level awards and high-volume yield remain incomplete.

counter: Reduce if debonding yield, thermal control, throughput or customer acceptance disappoint. Competing bonding platforms and established test ecosystems limit pricing and share.

TEL-RAMP-COST

p: 0.3

source ids: Q1_FY27_QA Miyagi_capacity

date: 2026-07-30

hypothesis: A residual qualification and installation overrun absorbs part of expansion profit.

reference: Normal manufacturing depreciation, R&D, warranty and incremental branch costs are already included.

Conditional: Extra gross-profit cost equal to 0.5% of reference new-equipment revenue in 2027-28, 0.25% in 2029 and zero in 2030.

bounds: 0-1% of reference new-equipment revenue.

overlap: Only costs above the ordinary ramp reserves are counted. No separate blanket revenue delay or duplicated utilization haircut accompanies it.

cost bridge: Conditional negative GP reduces OP one-for-one.

timing: Miyagi summer-2027 completion and subsequent tool/customer qualification.

why p: New factories, suppliers and increasingly difficult process specifications create a credible residual cost risk. Building completion is not customer acceptance.

counter: Remove after sustained field quality and startup efficiency evidence; increase if component qualification or rework is delayed.

Remaining bounded uncertainties

- New equipment of JPY531.3bn plus field solutions of JPY188.0bn is JPY13.088bn below Q2 2026 consolidated revenue. FY2026 has a JPY42.133bn residual. Neither is automatically attributed to advanced packaging or treated as rounding. A low-margin unallocated reconciliation vector preserves totals; request exact issuer scope.

- Formal financial guidance covers April-September 2026 only. The JPY1T FY2027 OP, 50% GP, 35% OP and market-size comments are management aspirations/outlooks, not full-year guaranteed guidance.

- Product/application gross margins, system ASPs, repricing eligibility, accepted capacity and named incremental customer awards are undisclosed model proxies.

- July buyback is verified; later ordinary-course option exercise and award delivery are not fully reconciled. All quarters use the October 1 five-for-one split basis, with a 0.25% annual dilution reserve and no unannounced repurchases.

- The JPY1T DRAM-interconnect and JPY500bn bonding/laser opportunities are cumulative multi-year objectives. No standalone annual TAM is added.

- June cash is reduced for July buyback; long-term securities are not assumed freely distributable. Pension obligations and operating lease commitments require liquidity monitoring, while operating costs include pension service, rent, SBC and depreciation. No excess-cash valuation bonus is granted.

- The last two issuer presentation transcripts and summarized Q&A are available; management comments on share loss differ in scope. April cites timing, mix and regulatory delivery changes; July emphasizes exchange-rate translation.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Primary source | 2026-07-30

https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1tanshin-e.pdf

Archived source SHA-256: 47899b5204ba8d8907f0e2eaa0520e1eadf0cc6f8d9350eb9a500d9b04340d30

[2] Primary source | 2026-07-30

https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1presentations-e.pdf

Archived source SHA-256: 7dba861a6b2755b447b42e4dfa10c3c68bd3f05e79d0977b17463660978a7486

[3] Primary source | 2026-08-03 publication; July 30 briefing

https://www.tel.com/ir/library/report/i242su0000000goz-att/FY27Q1_EarningCall_QA_E.pdf

Archived source SHA-256: 6a881f1bbe1bc298ada5713af8b623de8258da0041037953e0474840ebbfcdb3

[4] Primary source | 2026-07-30

https://www.tel.com/ir/library/report/i242su0000000goz-att/fy27q1transcript-e.pdf

Archived source SHA-256: 2c5e366c07d5c83bb3ebc1a01fc74113883ab17d347374a5fedbb7d29a2859d1

[5] Primary source | 2026-04-30

https://www.tel.com/ir/library/report/pjuomj00000000tf-att/fy26q4tanshin-e.pdf

Archived source SHA-256: a12076de1d793254b77af751ed596ef39f2e9f2e7e818e4aac3da88fd50108b6

[6] Primary source | 2026-04-30

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[7] Primary source | 2026-05-07 publication; April 30 briefing

https://www.tel.com/ir/library/report/pjuomj00000000tf-att/FY26Q4_EarningCall_QA_E.pdf

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[8] Primary source | 2026-04-30

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[9] Primary source | 2026-09-15

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[10] Primary source | 2025-02-06

https://www.tel.com/news/ir/2025/20250206_002.html

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[11] Primary source | 2026-09-15

https://www.tel.com/ir/library/investors-guide/hq95qj0000000734-att/InvestorsGuide_E20260915_rev00.pdf

Archived source SHA-256: 061c6f5b88c108c4dba3c0a82f74887a72fb06efcf1b3e4f8da699cacf4f350a

[12] Primary source | 2026-10-07 retrieval; issuer as of October1

https://www.tel.com/ir/stocks/info/

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[13] Primary source | 2026-08-03

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[14] Primary source | 2026-06-22

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[15] Primary source | 2026-08-03

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[17] Primary source | Retrieved 2026-10-07

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[18] Primary source | 2026-02-10

https://www.appliedmaterials.com/us/en/newsroom/press-releases/021026-applied-materials-unveils-transistor-and-wiring-innovations-faster-ai-chips.html

[19] Primary source | 2026-10-07 close, 15:30 JST

https://s.kabutan.jp/stocks/8035/

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.